

CASE SUMMARY 28.1: Conklin v. Holland, 138 S.W.3d 215 (Tenn. Ct. App. 2003)

Partnership Liability

Lewis and Holland bought a run-down home in Memphis, Tennessee, to renovate and then sell for a profit. The two agreed that Lewis would live in the house during the renovations. In this time period, 20-year-old Amanda Conklin visited the house, where Lewis provided her with alcohol and illicit drugs. As a result of the use of this combination, Conklin died. Lewis attempted to conceal the death by placing Conklin's body in the car in the garage of the home under construction. Police discovered Conklin's body a month and a half later and arrested Lewis. Conklin's estate sued Holland for civil damages related to Conklin's death under the theory that Holland and Lewis were partners in the co-ownership of the property and, as Lewis's partner, Holland was liable for whatever Lewis did on the land they co-owned as general partners.

CASE QUESTIONS

1. Was there a partnership?
2. What was the partnership formed to do?
3. As a practical matter, why would Conklin's estate sue Holland instead of Lewis for partnership liability?

CASE SUMMARY 28.2: Rahemtulla v. Hassam, 539 F. Supp. 2d 755 (M.D. Pa. 2008)

Good Faith

Rahemtulla met Hassam at his religious congregation. Hassam visited Rahemtulla and his wife many times at their home before he pitched his idea to open a steak house restaurant in the Howard Johnson's Inn. Hassam owned the inn along with several other partners. Hassam told the Rahemtullas that revenues from the steak house could be over \$2 million per year. Hassam knew that Rahemtulla had absolutely no experience in the food and beverage industry but offered to help him. Rahemtulla quit his job in the corporate sector and borrowed \$100,000 using his house as collateral. The \$100,000 was Rahemtulla's capital contribution in the partnership. The two entered into a partnership and signed a lease with the Howard Johnson's Inn partnership for the restaurant space. The restaurant opened, and Rahemtulla began to jointly operate it with Hassam. From the beginning, the restaurant lost money, and Hassam began to make unilateral decisions that would help cut expenses. The restaurant was dealt a serious financial setback when authorities refused to approve a liquor license for the restaurant, thus lowering revenue potential. After several months, Rahemtulla complained that he had been cheated by Hassam, whose financial reward came from the lease without any concern about the restaurant operations. Hassam blamed Rahemtulla for incompetence in managing the venture. Rahemtulla sued Hassam for breach of fiduciary duty and dealing in bad faith.

CASE QUESTIONS

1. What duties did Hassam owe Rahemtulla?
2. Does it matter that Rahemtulla made foolish decisions when he trusted his friend?
3. What potential conflict arose when Hassam created a partnership to lease from another partnership he was part of?

CASE SUMMARY 28.3: *In re Spree.com Corp.*, 2001 WL 1518242 (Bankr. E.D. Pa. 2001)

Duty of Loyalty

Technology Crosser Ventures (TCV), LP, is a venture capital fund that invests as a limited partner in technology companies that require an infusion of capital. Among the partners are Testler, Hoag, and Kimball. One of the companies they invested in was Spree.com. The partnership was structured to allow Spree, a corporation, to be the general partner with TCV as the limited partner. As part of the partnership agreement, Testler would represent TCV as a member of the board of directors of Spree.com. On August 24, 2000, the *Wall Street Journal* reported a story about TCV and its partners that depicted Testler, Hoag, and Kimball discussing their investments at Testler's office. The paper quoted Testler saying, "What do we want to do with this puppy? The cash runs out soon." Hoag then asked, "They're going to be looking at us for more capital, aren't they?" Kimball added, "I don't want to be supporting them until who knows when." The three men were talking about Spree.com. Spree became insolvent (unable to pay bills as they became due) not long after the article appeared. Spree sued TCV, arguing that the article made it impossible for the company to get more investors. Spree sued Testler for breach of loyalty and due care.

CASE QUESTIONS

1. Who prevails and why?
2. Does this case show potential problems with venture capital firms as limited partners?
3. Was TCV in "control" of Spree.com because it held the purse strings?